

year of putting Pierre's change daily into the water containers, she had completely filled up four large water containers that she kept stored in the garage.

One day, Pierre came home from work with the news that the Internet company he worked for had finally gone out of business. He knew that they had not shown a profit for the past two years, but he just assumed they would find another venture capitalist to continue the funding. When the funding never materialized, Pierre wished he had begun to save his money years ago. He knew working for a start-up was risky, but he never took any precautions.

Luckily for Pierre, his roommate was a financial planner. The first thing Jillian had Pierre do was create a complete budget of all his expenditures in relation to Pierre's new income from his unemployment compensation. It is more realistic to budget with actual income you can count on rather than projecting income from a new job, since the length of the job search is unknown. They found Pierre was going to be \$400 a month short. Jillian then proceeded to identify expenses that he could eliminate or reduce like his mobile phone, sports club monthly fee (he never went), cable television, expensive dinners out, and other "wants" in his budget. After doing this, he was only \$100 short.

Pierre had heard that it took an average of one month to find a job for each \$10,000 of annual earnings. So he anticipated he would need approximately five months to be able to find a job with a comparable salary (\$50,000) to his last position. The dilemma remained to find the \$500 he needed (the \$100 monthly shortage multiplied by five) to be able to cover all his monthly expenditures. By completing a net worth sheet (see Chapter 1), he would be able to identify assets that he could possibly sell to cover this shortage.

After completing the net worth form, they discovered that

